Life Insurance Standard Sales Process SOP (2026 Edition)

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This SOP divides a complete sale into seven standard steps. All agents must follow them in order and keep records of every step in the customer management system. The Compliance Department conducts quarterly spot checks; missing a critical step will downgrade the agent's compliance score for that quarter.

Step 1: Lead List Preparation and Appointment Booking (Day 0)

- Every Monday, prepare a list of at least 20 leads to follow up, categorised into referrals, existing client top-ups and new leads.
- New leads must receive a first phone contact within 72 hours; beyond that, the conversion rate drops by 60% on average.
- The phone call is only to secure a meeting opportunity; do not explain product details over the phone to avoid rejection before the client has met you.
- After the appointment is confirmed, send a confirmation by SMS or instant messaging, including the time, venue and expected meeting duration.

Step 2: Meeting Opening and Trust Building (First 10 Minutes)

- Introduce yourself and state the purpose of the meeting: "Today I mainly want to understand your family's protection situation; there is no obligation to buy any product."
- First ask open-ended questions to understand the family structure, occupation, income and existing policies before discussing products.
- Listening should account for no less than 70% of the meeting; record the client's words and concerns as entry points for the subsequent proposal.
- It is prohibited to criticise the client's existing policies or disparage competitors at the start of the meeting; violators will be penalised on compliance scores.

Step 3: Needs Analysis and Protection Gap Calculation

- Use the Financial Needs Analysis (FNA) form to calculate the life and critical illness protection gaps.
- Recommended life sum assured formula: annual income x 10 + outstanding liabilities (mortgage, loans) - existing assets and coverage.
- Recommended critical illness sum assured: annual income x 5, covering income loss and medical expenses during a 3 to 5 year recovery period.
- Estimate retirement needs as expected monthly expenses x 12 x 20 years, then deduct MPF and expected savings.
- The FNA form must be signed by the client and the original retained for 7 years.

Step 4: Proposal Design and Product Matching

- Select the product combination based on the gap results: family breadwinners should first be offered term life + critical illness + medical, then savings.
- Each base policy should be paired with at least one rider; common combinations are a critical illness base policy + hospital cash + accident cover.
- Prepare at least two premium options (Basic / Upgrade) so the client chooses between options rather than buy or not buy.
- All non-guaranteed benefits must be labelled "non-guaranteed"; the illustration may only be sent after review by a supervisor.

Step 5: Proposal Presentation and Objection Handling

- Present each product using the FABE framework: features, advantages, benefits to the client and real evidence-based cases.
- When the client says "I'll think about it", first clarify whether the concern is about cost, coverage or timing, then address it accordingly.
- When the client says "too expensive", convert the annual premium into a daily amount and compare it with the potential cost of one incident.
- All sales language must be truthful; do not exaggerate returns or promise non-guaranteed dividends.

Step 6: Application and Underwriting Follow-up

- Complete the application form and health questionnaire in person, reading each health declaration question to the client, who must answer in their own words.
- Report all medical history truthfully; if the client is unsure, suggest a medical examination or checking medical records first - never make the judgment on their behalf.
- Submit the application within 24 hours of receiving the first premium and update the status in the system.
- When underwriting requires a medical examination or additional documents, notify the client within 48 hours, help with booking and follow up weekly until the policy is issued.

Step 7: After-sales Service and Referrals (Within 30 Days of Issue)

- Deliver the policy in person within 7 days of issue and explain the cooling-off rights (21 calendar days).
- Conduct the first follow-up on day 30 after the cooling-off period to confirm the client understands the coverage and premium arrangements.
- Build a client protection file and make at least two non-sales contacts per year, including festive greetings and claim reminders.
- Provide end-to-end assistance for claim cases; one good claim service brings an average of 2 to 3 referrals.

Key Sales Indicators and Time Limits at a Glance

Process step	Time limit	Compliance point
First contact with new lead	Within 72 hours	Record contact time and result
FNA needs analysis	Before proposal design	Signed by client; retain for 7 years
Illustration sent	After supervisor review	Label non-guaranteed benefits
Application submitted	Within 24 hours of payment	Health declaration completed truthfully
Underwriting document request notified	Within 48 hours of request	Follow up weekly until issue
Policy delivery	Within 7 days of issue	Explain 21-day cooling-off period
First follow-up after issue	Within 30 days	Confirm understanding of coverage

Note: This SOP was jointly prepared by the Operations and Compliance Departments and applies together with the Code of Practice for Insurers and the Company's agent compliance handbook.

Any amendments are subject to the latest compliance circular.